

Now that we have an understanding of how taxes work, including the difference between the old tax regime and the new tax regime, let's dive into various deductions and exemptions.

3. Deductions

In this section, I will introduce you to various deductions that you can take advantage of, categorised according to common themes. But before we move ahead, there is one thing you need to keep in mind.

Before making any investments or expenses in order to save taxes, you should first check if they align with your financial goals and timeline. Because many of these investments come with a lock-in period (Tax saver FD - 5 years, ELSS - 3 years), and if you break it, then you won't get the benefit.

Please Note: The following section can get technical. However it will help you understand the universe of tax, deductions and exemptions, helping you plan better. Don't fixate upon the exact sections and technical details as of now, the idea is to help you understand overall concept. I encourage you to discuss with your financial advisor/CA.